

FRVO

FRVO N/A

Buy	\$35.09 ▼ 3.84%	12M Price Target \$48.00	52-Week Range \$32.39 – \$42.65	Market Cap \$10.32B
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FRVO: Geothermal Hype Cooling Off, But Story Intact

WHAT'S CHANGED

- FRVO dropped about 4% yesterday to \$35, giving back some of the recent rally — it's now sitting at just 26% of its 52-week range, meaning it's closer to the year's low than the high.
- Someone made a big bet against the stock in the options market: over 1,000 put contracts at the \$30 strike expiring in July — that's 7x the normal open interest, which is a fancy way of saying way more bearish bets than usual showed up.

IMPLICATIONS

The geothermal story got hot in May after that successful IPO and bullish analyst initiations (Wall Street firms starting coverage with "buy" ratings), but the air is coming out of the trade right now. Those unusual puts at \$30 suggest a big trader is either hedging (protecting) a long position or betting the stock breaks down further. For holders: this is the classic "buy the hype, sell the news" hangover — fundamentals haven't changed, but the easy money has been made.

VALUATION

At a \$10.3B market cap on roughly \$285M of expected 2026 revenue, you're paying about \$36 for every \$1 of sales — that's expensive for any company, let alone one still losing money. The bull case is they're not really an energy company yet, they're an infrastructure buildout play, and if they hit 2027 numbers (~\$520M), the multiple compresses fast. From here, I see maybe 35% upside to \$48 in 12 months if execution stays clean, but 20% downside risk if they need to raise cash.

KEY RISKS

- They're burning cash to drill wells and build plants — at some point they'll likely need to raise money by selling more shares, which means your slice of the pie shrinks (called dilution).
- Geothermal drilling is technically hard. One bad well or project delay and the stock craters because the whole thesis depends on proving the economics work at scale.
- The stock is trading on AI data center hype as much as actual revenue. If hyperscalers (Microsoft, Google, Amazon) slow their power purchase commitments, the multiple collapses.

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Fervo draws bullish Wall Street initiations as analysts bet on geothermal scale-up Investing.com · 2026-06-08 18:01

A Hot IPO Lifts Geothermal Power Companies The Wall Street Journal · 2026-05-25 21:17

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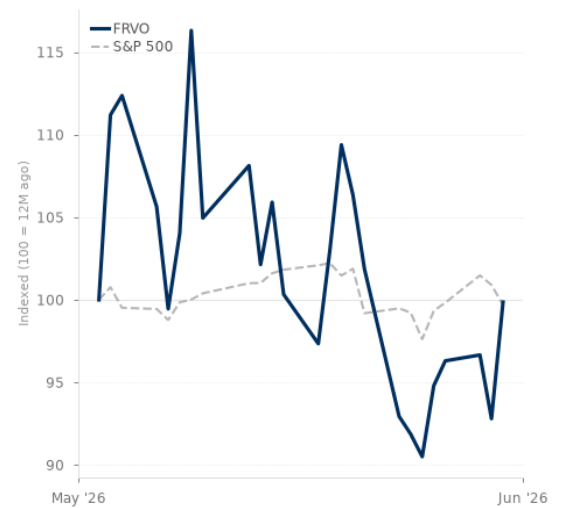
Key Data

Price (USD)	\$35.09
12M Price Target	\$48.00
Upside / (Downside)	+36.8%
Market Cap	\$10.32B
FY2026E Revenue	\$285M
FY2027E Revenue	\$520M
FY2026E EPS	(\$1.85)
FY2027E EPS	(\$1.20)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$40.00	\$36.00	\$31.00
6 Months	\$50.00	\$42.00	\$30.00
1 Year	\$62.00	\$48.00	\$28.00
2 Years	\$85.00	\$60.00	\$25.00
5 Years	\$150.00	\$90.00	\$20.00
10 Years	\$300.00	\$160.00	\$15.00

SECTOR INTELLIGENCE

HEATING UP: Anything tied to powering AI — nuclear (especially small modular reactors), geothermal, natural gas turbines, and the electrical grid buildout.

COOLING OFF: Traditional solar and residential clean energy plays — they don't solve the 24/7 baseload power problem AI needs.

ROTATION WATCH: Money is flowing out of "green energy as ESG investment" and into "clean energy as AI infrastructure play." It's the same sector dressed differently, but the new framing commands premium multiples because data center demand is real and immediate.

RELATED PLAY: If FRVO works, the drilling service companies (think oilfield services repurposed for geothermal) and the turbine makers benefit too. Also watch utilities signing geothermal PPAs (power purchase agreements) — they get cheap clean power without taking project risk.

OUTPERFORMERS & PEER CONTEXT

- OKLO (Oklo Inc): Small nuclear reactor play that's been on a tear because every hyperscaler wants nuclear power for AI data centers.
- VST (Vistra): Traditional utility that's become an AI darling because they own the existing nuclear and gas plants tech companies are desperate to buy power from.

FRVO CONTEXT: FRVO is lagging the broader "power for AI" theme right now — nuclear is stealing the spotlight because it's further along commercially. But geothermal is the cheaper, faster-to-deploy story if they can prove it works.

INVESTMENT STRATEGY

6/10 Conviction Score

Position Size: 2-3% of portfolio

Entry Points: \$32-34 on pullbacks

Time Horizon: 18-36 months

Thesis Invalidation: Major project delay, failed well economics, or capital raise at deep discount

Hedging: Pair with short on a richly-valued solar or hydrogen name